

THE HOME DEPOT, INC.

(NYSE: HD)

The Best Retailer in the World, Priced as Though the Cycle Cooperates

HOLD — \$268.00 Target

Equity Research Note · Consumer Discretionary — Home Improvement Retail · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
HOLD	\$268.00	\$282.85	-5.3%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$282 bn (0.998 bn sh × \$282.85)	ROIC streak	>15% every year since 2010 (16 years)
Enterprise value	~\$345 bn	Dividend	\$9.32/share annualized (\$2.33/qtr, raised Feb 2026)
Net debt	~\$61 bn (SRS/GMS acquisition leverage)	FY2026E guide	Comps flat to +2%; adj. EPS flat to +4% off \$14.69
52-week range	~\$277.15 – \$397.63	Pro addressable market	~\$700 bn (SRS + GMS trade distribution)
FY2025 sales / comps	\$164.7 bn (+3.2%) / +0.3%	Next catalyst	Q3 FY26 results; housing-turnover prints

1 Investment Thesis

Home Depot is the best home-improvement retailer in the world, and the stock is priced as though that statement alone settles the investment question. It does not. A 16-year streak of returns on invested capital above 15%, gross margins that have held near 33% through every housing cycle of the last decade and a half, and free-cash-flow conversion above 80% make this one of the highest-quality businesses in American retail. Quality of that order deserves a premium multiple. It does not deserve the assumption that the cycle cooperates.

The cycle is not cooperating. Existing-home turnover sits near historic lows — roughly 3% of the housing stock — with 30-year mortgage rates still near 6.6%. Management itself describes a frozen housing market. When homes do not change hands, the move-driven big-ticket projects — kitchens, additions, full renovations — that carry the highest tickets and the best margins simply do not get scheduled. Homeowners are healthy and spending, but they are spending on smaller maintenance and repair jobs while deferring the large discretionary work. Q2 FY2026 delivered a four-year high in comparable sales and a genuine beat, and management reaffirmed rather than raised full-year guidance. The reaffirmation is the honest tell: the company does not trust the housing market to deliver a second-half acceleration, and neither should investors.

Our judgment is that Home Depot's long-term economics are intact and underappreciated in the bearish narrative, but the next twelve months belong to the cycle, not to the franchise. We value the company on a 15-year scenario DCF that grants the compounder-quality treatment its history has earned — an 8.0% base discount rate (our strongest band), 3.0% terminal growth capped on demonstrated sustained margins, never peak margins — and the answer is fair value of \$268 against a \$282.85 price. The base case (\$305) assumes a gradual turnover thaw from 2027, low-single-digit comp growth, the pro platform scaling, and operating margins recovering toward the mid-teens — with no heroics on the multiple. That is a HOLD: a superb business at a full price, with the upside reserved for the eventual housing-turnover recovery, which remains a 2027-or-later story.

The asymmetry matters. The bear case — housing stays frozen for two more years, big-ticket comps stay negative, the pro build-out dilutes margins longer than expected — is worth \$58.75, a genuine washout. The bull case — mortgage rates break below 6% and turnover normalizes — is worth \$401.77, mid-teens upside from here. At \$282.85 investors are paying for an earnings recovery that management's own guidance says is not yet visible. We would become buyers on genuine weakness toward the bear-case zone; at current levels the risk-reward is balanced to mildly negative.

Why the market will care

- **Quality is not the debate; the cycle is.** 16 years of >15% ROIC, ~33% gross margins through every housing cycle, >80% FCF conversion — this is the strongest-band qualifier in our compounder framework, which is why the model grants it an 8.0% discount rate over 15 explicit years. The franchise is the reason the bear case is a buying opportunity, not an obituary.
- **The pro pivot is the right answer to a frozen DIY market.** Pros are roughly half of revenue; the \$18.25 billion SRS Distribution acquisition (roofing, pool, landscaping supply) plus GMS gives Home Depot a serious position in specialty trade distribution against a ~\$700 billion addressable market. Pro demand is steadier than DIY through cycles and buys on a recurring, job-driven cadence.
- **The honest tell is the guide.** A four-year high in comps, a genuine Q2 beat — and management reaffirmed rather than raised. When the best operator in retail refuses to extrapolate its own quarter, investors should not extrapolate it for them.

2 Business Overview — What The Home Depot Is Doing

(Atlanta, Georgia; CEO Ted Decker)

The Home Depot is the world's largest home-improvement retailer, operating roughly 2,360 stores across the United States, Canada, and Mexico. The business serves two customer types: the do-it-yourself homeowner and the professional contractor — the pro. Pros now account for roughly half of revenue, a deliberate and growing mix, served through dedicated pro desks, direct fulfillment, and a trade distribution network built through acquisitions.

Fiscal 2025 (ended February 1, 2026) produced net sales of \$164.7 billion, up 3.2%, with comparable sales of 0.3% and diluted earnings per share of \$14.23 GAAP (\$14.69 adjusted). Gross margin ran at approximately 33.1%, and fiscal 2026 operating-margin guidance sits at 12.4% to 12.6% — compressed relative to history by the mix shift toward the acquired distribution businesses and continued investment in the pro ecosystem. Return on invested capital, above 15% every year since 2010, was 25.4% in Q1 FY2026. The company paid about \$2.3 billion in dividends in that quarter alone and continues a decades-long capital-return program funded by genuinely prodigious cash generation.

The strategic centerpiece is the pro pivot. The March 2024 acquisition of SRS Distribution for \$18.25 billion gave Home Depot a serious position in specialty trade distribution, and the subsequent GMS acquisition extended that reach. The company is adding 40 to 50 new SRS branches a year and points to a total pro addressable market of roughly \$700 billion. The logic is sound: pro demand is steadier than DIY through cycles, and Home Depot's scale in procurement and logistics gives it structural advantages over fragmented regional distributors. But it is a multi-year build, the acquired revenue carries thinner margins than the core box, and the balance sheet now carries the leverage those acquisitions required.

What the company is doing now

- **SRS Distribution (\$18.25B, Mar 2024).** Roofing, pool, and landscaping specialty distribution — the core of the pro build-out; 40–50 new branches a year.
- **GMS acquisition.** Extended specialty-distribution reach; the acquired revenue layers in at lower margins than the core retail box, diluting consolidated margins during the build phase.
- **Pro desks + direct fulfillment.** Dedicated pro infrastructure inside the store network converts job-driven contractor demand into recurring revenue — steadier than the DIY homeowner through housing cycles.
- **Capital return continues.** Decades-long dividend and buyback program funded by operating cash flow; the \$9.32 annualized dividend yields ~3.3% at the current price.

3 Financial Analysis

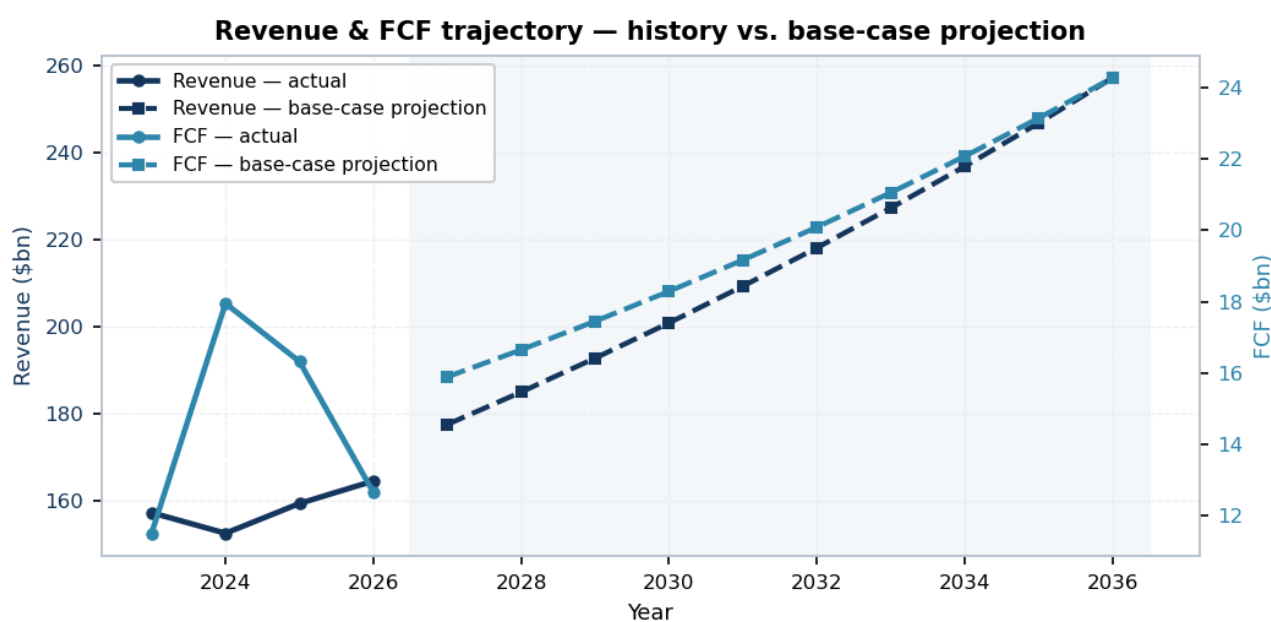
\$ bn	FY2023	FY2024	FY2025	FY2026E guide
Net sales	157.4	152.7	164.7	+2.5% to +4.5%
Comparable sales	−3.2%	−3.2%	+0.3%	flat to +2%
Gross margin	~33.0%	~33.4%	~33.1%	—
Operating margin	14.2%	13.5%	13.0%	12.4%–12.6 %
Adj. diluted EPS	\$15.11	\$15.11	\$14.69	flat to +4%
Free cash flow	11.5	18.0	16.3	—
ROIC	>15%	>15%	>15%	—

Sources: company 10-K and earnings releases; FY2023–25 annuals via yfinance (fiscal years end January). 16 consecutive years of ROIC above 15% (2010–2025).

The financial signature of the compounder case is cash conversion. Free-cash-flow conversion has run above 80% for years, and the terminal FCF margin in our model is a demonstrated sustained level — 8.6–10.2% since 2015 (2025: 7.7%, depressed by SRS integration) — not a cyclical peak. Base-case FCF compounds from ~\$15.9 billion in FY2027 to \$29.0 billion by 2041 as revenue grows at a 4.2% 10-year CAGR and margins recover toward the mid-teens. The leverage is the constraint: ~\$61 billion of net debt from the acquisition program, which is why the bear case — revenue declining at a 0.5% CAGR for a decade with margins compressing to 6.5% — is worth only \$58.75.

The dividend is the shareholder's compensation for patience: \$9.32 annualized, a ~3.3% yield at the current price — the highest in years outside crisis periods. Buybacks have been paused since March 2024 as capital went to SRS/GMS; resumption is a 2027-or-later story tied to deleveraging progress.

Revenue & cash-flow trajectory

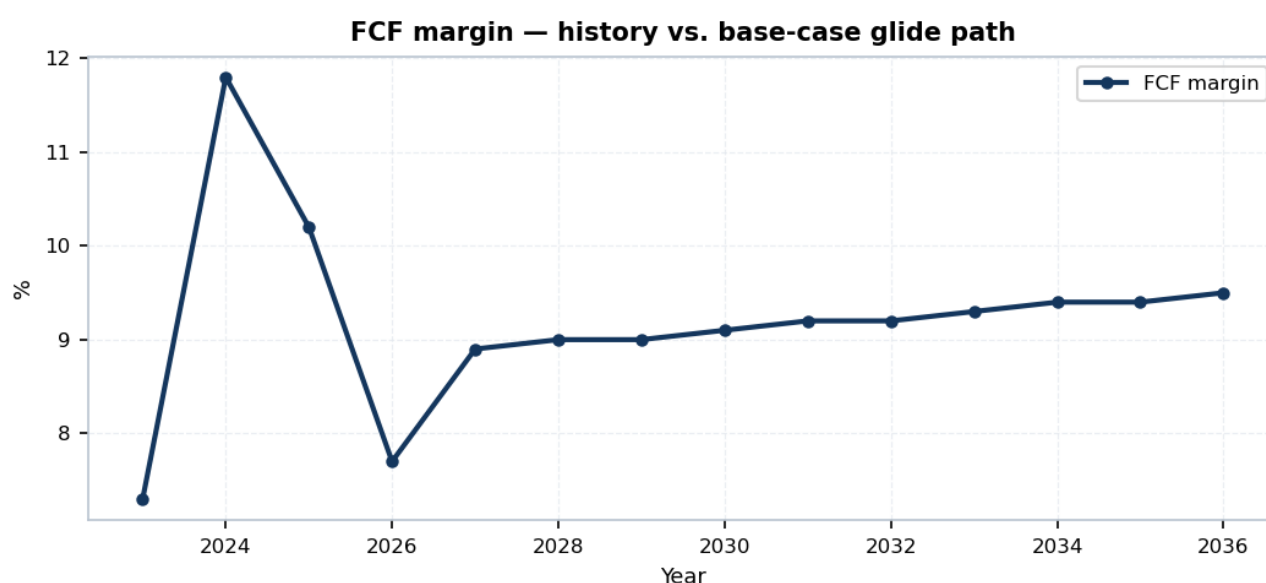


History: company filings via yfinance (fiscal years end January). Projection: base-case FCF from the 15-year compounder DCF (shown FY2027–2036; the model runs to 2041, ending at \$305.3B revenue / \$29.0B FCF).

4 Moat & Competition

- **Scale procurement and logistics.** The world's largest home-improvement buyer extracts vendor terms no regional distributor can match; the supply chain delivered industry-best on-shelf availability through the softest demand in years.
- **The pro ecosystem is a share machine.** Pro desks, direct fulfillment, and now specialty trade distribution (SRS/GMS) make Home Depot the default supplier for contractors — a relationship moat that widens when weaker competitors retrench.
- **Pricing power, empirically demonstrated.** Gross margins near 33% through a multi-year demand trough is the proof; the business does not buy sales with margin.
- **The moat's weak link is the cycle itself.** No moat protects against deferred big-ticket demand: when turnover freezes, the highest-margin projects simply do not happen, and no amount of execution creates them.

FCF margin — history vs. base-case glide path



5 Valuation — 15-year scenario FCFE DCF (compounder-quality override), Fair Value \$268

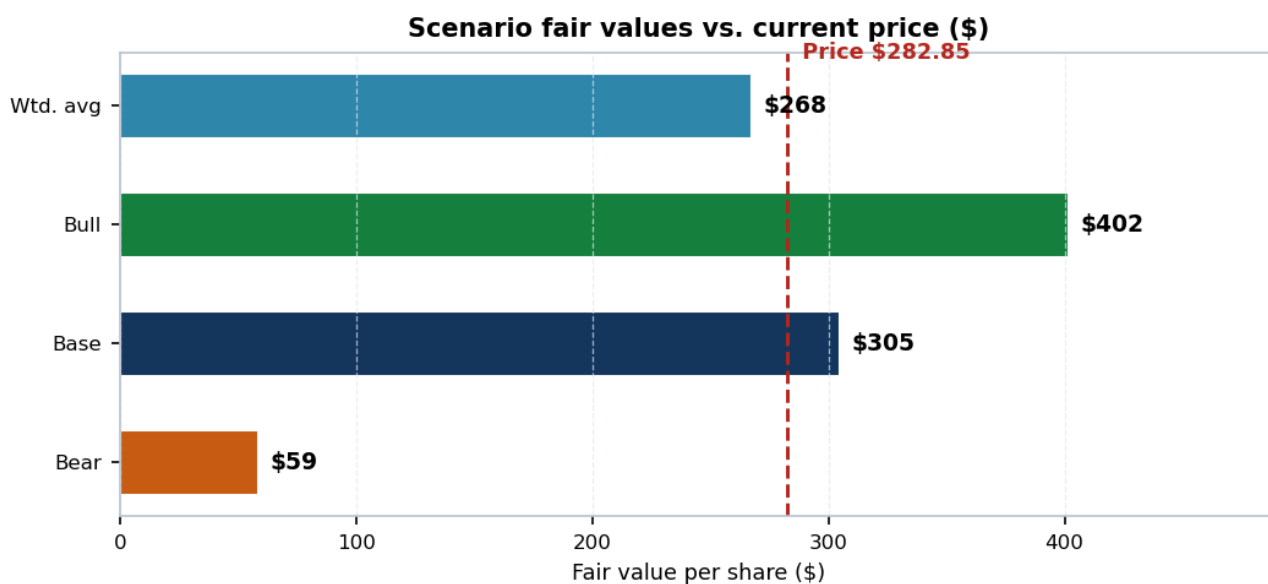
Home Depot meets our compounder-quality criteria — 16 consecutive years of ROIC above 15% (2010–2025), stable-to-expanding gross margins, and free-cash-flow conversion above 80%, all verified from reported history — so we model a 15-year explicit horizon (10-year bear) at an 8.0% base discount rate (strongest band), with terminal growth capped at 3.0% applied to demonstrated sustained FCF margins (6.5% / 9.5% / 10.5% — not cyclical peaks). The bear case adds 250bp (10.5%), the bull case subtracts 150bp with an 8% floor (binds at 8.0%), and the three scenarios are weighted 25% / 50% / 25%. Revenue grows at the scenario CAGR for years 1–10 (–0.5% / +4.2% / +5.8%), fading to terminal growth over years 11–15; FCF margin glides from 8.5% to the terminal margin over 10 years. Net debt \$61.0B, 0.998B shares. Terminal value is 37–54% of EV across scenarios — no haircut required.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Housing freeze extends through 2028; turnover near 3%, big-ticket comps negative, SRS organic growth disappoints, pro build-out dilutes margins longer than guided	–0.5%	6.5%	10.5% / 1.5%	37%	\$58.75
Base	Gradual turnover thaw from 2027; low-single-digit comp growth; pro revenue compounds as the trade-distribution platform scales; operating margins recover toward mid-teens — no multiple heroics	+4.2%	9.5%	8.0% / 3.0%	52%	\$305.02

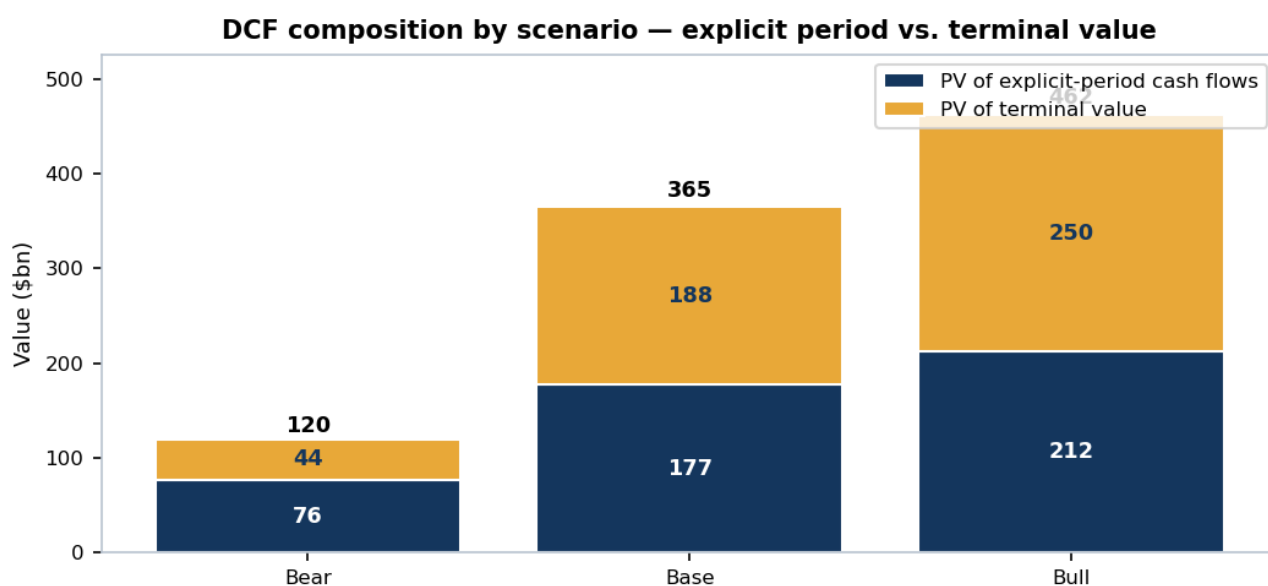
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bull	Mortgage rates break durably below 6% by 2027; turnover normalizes faster; deferred big-ticket demand releases in a wave; pro platform captures share faster than base	+5.8%	10.5%	8.0% / 3.0%	54%	\$401.77
Wtd. avg	Probability-weighted (25/50/25) → \$268.00 target					\$268.00

$0.25 \times \$58.75 + 0.50 \times \$305.02 + 0.25 \times \$401.77 = \$267.64 \rightarrow \$268$ target. Bear meets all hurt conditions (revenue decline, 300bp+ margin compression, 25%+ derating).

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Housing-freeze duration.** The lock-in effect (3–4% mortgages vs 6.6% market rates) can persist longer than equity patience; every flat-comp quarter re-opens the multiple debate.
- **Big-ticket deferral.** Kitchens, additions, and renovations are the highest-margin sales and the most deferrable — a structural mix headwind while turnover is frozen.
- **Pro-build execution.** SRS/GMS integration must deliver the distribution economics; the acquired revenue dilutes consolidated margins in the meantime.
- **Leverage.** ~\$61B of net debt from the acquisition program constrains capital return until deleveraging progresses; buybacks remain paused.
- **Tariff and input costs.** IEEPA tariff refunds in FY2026 guidance are offsetting unplanned fuel and input costs — policy shocks can move the cost structure faster than pricing.
- **Competition for the pro.** Specialty distributors and Lowe's pro push contest the \$700B addressable market; share gains are assumed, not guaranteed.

What would change our mind

Downgrade to REDUCE if comps re-decelerate to flat/negative for two consecutive quarters combined with net debt/EBITDA failing to decline — that breaks the base case's core-revenue path from the inside. Conversely, a housing-turnover recovery or buyback resumption ahead of schedule would argue for the bull case (\$401.77). We would become buyers on a genuine washout toward the bear-case zone (\$58.75). Watch: existing-home turnover prints, big-ticket comp trends, and SRS branch productivity.

7 Methodology

Home Depot qualifies for the compounder-quality override: 16 consecutive years of ROIC above 15% (2010–2025), stable-to-expanding gross margins, and free-cash-flow conversion above 80%, verified from reported history. Qualifying businesses are valued on a 15-year explicit horizon (10-year bear) at an 8.0–8.5% base discount rate — the strongest band at 8.0% — with the bear case adding 250bp and the bull case subtracting 150bp (8% floor). Terminal growth is capped at 3.0% on demonstrated sustained margins, never peaks. Revenue compounds at the scenario CAGR for years 1–10, fading to terminal growth over years 11–15; FCF margin glides from the current level to the terminal margin over 10 years. Scenarios are weighted bear 25% / base 50% / bull 25%. If the qualification criteria fail over any multi-year window, the business is re-valued at the standard 10% discount over a 10-year horizon. Bear cases must be genuinely adverse and sit below the current price. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine business-model volatility, the balance sheet, and the valuation. This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.

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